

MODULE 4: CASE STUDIES & CAPSTONE DEFENSE

Interactive 3-Hour Rhythm

Session 4.2: Comprehensive Case: Apple

Walled garden ecosystems, hardware anchors, App Store antitrust, and EU DMA compliance.

PART 1 (LECTURE)

60 Minutes

PART 2 (LAB PRACTICE)

60 Minutes

PART 3 (EXECUTIVE MEMO)

60 Minutes

STANDARD

Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

WALLED GARDEN DYNAMICS

Vocabulary

Key Topical Foundations

- **Ecosystem Lock-In:** Hardware anchor hub for complements (Watch, AirPods, Mac).
- **Monetization Engine:** Installed base of 2B+ active devices monetized via Services.
- **Developer Commission:** In-App Purchase (IAP) mandate with 30% digital fee.
- **Micro-Examples:** Apple Pay NFC control, iCloud tiering, Epic Games litigation.

Theoretical Foundations: Walled Garden Dynamics

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- **Ecosystem Lock-In:** Hardware anchor hub for complements (Watch, AirPods, Mac).
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- **Hardware Saturation (2016):** Smartphone unit growth plateaued; Services emphasized.
- **Margin Contrast:** Hardware gross margins ~36% vs. Services gross margins >70%.
- **Regulatory Challenge:** EU Digital Markets Act (DMA) mandating sideloading & alt stores.
- **Platform Counter-Move:** Introducing 0.50 euro Core Technology Fee per install.

STRATEGIC TAKEAWAY

Walled garden ecosystems, hardware anchors, App Store antitrust, and EU DMA compliance.

Enterprise Case Dissection: Apple Services Shift

Historical case evidence and multi-year corporate trajectory analysis.

CORPORATE DYNAMICS

Timeline

Market Conditions & Strategic Moves

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- **Margin Contrast:** Hardware gross margins ~36% vs. Services gross margins >70%.
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ANALYTICAL FOCUS

Evidence

Operational & Financial Findings

- **Apple 10-K Data:** Products vs. Services revenue and cost of sales (2020-2024).
- **Gross Margins:** Calculating Products GM % and Services GM %.
- **Margin Spread:** Quantifying the 35+ percentage point spread in Services.
- **Valuation Multiple:** Analyzing PE multiple expansion as Services hit \$96B.

Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

SPREADSHEET MODELING

Lab Spec

Data Metrics & Formulas

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MANAGEMENT DILEMMA

Decision Lab

Strategic Tension

- **DMA Fee Reduction Simulation:** Modeling EU App Store take rate cut from 30% to 12%.
- **Gross Profit Impact:** Quantifying annual dollar impact on Apple gross profit.
- **Core Technology Fee Audit:** Assessing whether 0.50 euro fee escalates regulatory conflict.
- **Executive Memo:** Strategic roadmap for preserving walled garden platform economics.

Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

Corporate Strategic Tension

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EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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